the two bottoms. That is the breakout signal. It turns squiggles on the price chart into a valid double bottom.

Technical traders watching from the sidelines buy the stock in droves. Volume skyrockets along with price. Reluctant sellers dump the stock to eager buyers. Price climbs for several days and then things change. About two-thirds of the time, price throws back to the breakout price. The throwback is brief before price gathers strength and rises again, soaring to new highs.

Identification Guidelines

I find identifying Eve & Eve double bottoms is easier than identifying birds, but, in both cases, you have to know what to look for. Not just any two bottoms at the same price will suffice for an Eve & Eve double bottom.

Listed in **Table 29.1** are guidelines that make correct selections easier. While considering the guidelines, look at **Figure 29.2**.

Appearance. Assign each double bottom pattern into its Adam and Eve category. Adam bottoms are narrow and V shaped, perhaps with a one- or two-day downward price spike. Eve bottoms are wide, rounded turns. They may also have price spikes, but they are usually shorter and more plentiful.

Price trend. The stock shown in the figure begins declining in mid-October 1993 (not shown) from a price of about 56.50. It bottoms out at about 41.50 in mid-May, forming the first Eve bottom. Price never drops below the left low on the way to the first bottom. The reason for this guideline is to avoid triple bottoms or those patterns that do not act as reversals.

The two points marked A and B represent an incorrectly selected double bottom because point A has lower lows to the left of it. It acts as a continuation of the upward price trend and not a bottom reversal.